substantial reorganization of the various sections of the Agricultural Credit Department in August 1945.

In February 1937, a Statistical Section had been started in this Department. It was sub-divided a little later into three distinct sections: (1) Agricultural Credit Section, (2) Banking Section, and (3) Statistical and Research Section. The last named was to collate and record statistical information, prepare the bank's Report on Currency and Finance and the Board's annual report to the shareholders, and undertake special studies of various monetary and fiscal problems. The need for a competent economist was soon felt and a post of Director of Research to be in charge of this Section was therefore created early in 1941. Dr B.K. Madan, who since 1940 had been the Economic Adviser to the Government of Punjab, became its first incumbent in the middle of that year.

In the middle of 1943, the Research Section was expanded for undertaking a fuller study of problems of central banking and wartime fiscal and monetary developments, and of the issues likely to arise in the post-war period. Towards the end of that year, the bank arranged to obtain the services of J.V. Joshi, the Deputy Economic Adviser to the Government of India, on loan as senior economist for the purpose not only of advising the bank on economic matters including currency and central banking, but also for reviewing and suggesting improvements to the existing machinery for collection and co-ordination of economic intelligence. Joshi later became the bank's first Economic Adviser.

In the closing stages of the war, there was great increase in the work due largely to the need for collection and interpretation of a wide variety of economic data. Besides domestic financial problems, it was expected that the new international organizations, the IMF and the World Bank, would require a large mass of information from each member country, a considerable part of which would have to be compiled by the central banks of these countries. Also, over the years, the work which the Banking Section of the Department had to undertake also grew enormously with a marked increase in the work of supervision over banks.

With a view to cater to the increased workload, the Agricultural Credit Department was reorganized with effect from August 1, 1945, and two new departments were set up: the Department of Research and Statistics and the Department of Banking Operations. The first was to function under the